

Discount Authority Policy

NW-POL-001 | Version 1.0 | Status: superseded

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1. Purpose

This policy states who may agree a price discount for a customer, and how large that discount may be. It applies to every sales order taken by Northwind Traders, in both the Seattle and the London sales offices.

2. How discounts are recorded

A discount is given on an individual order line, not on the order as a whole. It is recorded in the Discount field of the order line as a fraction, so a discount of 15 percent is stored as 0.15.

In this policy, "sales representative" means the person recorded as the salesperson on the order, whatever their job title.

An order can contain lines with different discounts. The highest line discount on the order decides which approval the whole order needs.

3. Approval tiers

Tier	Line discount	Who may approve
Tier 1	From 0 percent up to and including 5 percent	The sales representative, on their own authority
Tier 2	Above 5 percent, up to and including 15 percent	The Sales Manager
Tier 3	Above 15 percent, up to and including 25 percent	The Vice President, Sales
Not permitted	Above 25 percent	Nobody. Northwind does not give discounts above 25 percent.

In 2025 the Sales Manager is Steven Buchanan and the Vice President, Sales is Andrew Fuller.

4. No self-approval

Nobody may approve their own request.

- When the Sales Manager is the salesperson on an order, a Tier 2 request goes to the Vice President, Sales.
- When the Vice President, Sales is the salesperson on an order, a Tier 2 or Tier 3 request must be countersigned by the Sales Manager.

5. Discontinued products

Discontinued products follow the same tiers as every other product. There is no separate discount for clearing remaining stock.

6. Contract discounts

A contract discount that a key account receives counts toward the tiers. It is not added on top of them. The total discount on the line decides the tier.

7. How to request approval

- 1 Send the request to the Sales Approvals queue at sales-approvals@northwind.example. State the order number, the line, the discount requested and the business reason.
- 2 The approver replies in the queue. The reply is the record of the approval.
- 3 Enter the discount on the order line only after the approval has been recorded.

Approval must be recorded before the order is confirmed to the customer. Northwind does not give retroactive approvals. A discount that was confirmed to a customer without the required approval is reported to the Vice President, Sales.